

Although this is orthodox economic theory, and undoubtedly valid in a broad sense, we doubt if it applies with sufficient certainty and celerity to make it useful as a governing factor in common-stock selection. It may be pointed out that under modern conditions the so-called “intangibles,” e.g., good-will or even a highly efficient organization, are every whit as real from a dollars-and-cents standpoint as are buildings and machinery.<sup>4</sup> Earnings based on these intangibles may be even less vulnerable to competition than those which require only a cash investment in productive facilities. Furthermore, when conditions are favorable the enterprise with the relatively small capital investment is likely to show a more rapid rate of growth. Ordinarily it can expand its sales and profits at slight expense and therefore more rapidly and profitably for its stockholders than a business requiring a large plant investment per dollar of sales.

We do not think, therefore, that any rules may reasonably be laid down on the subject of book value in relation to market price, except the strong recommendation already made that the purchaser know what he is doing on this score and be satisfied in his own mind that he is acting sensibly.

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<sup>4</sup> Judicial valuations of intangible assets (in the case of close corporations) still seem to adhere to the old concept that they are less “real” than tangible assets and thus need larger earnings, relatively, to support them. The divergence between the stock market’s bases of valuation and those of business men and the courts, as applied to private enterprises, would provide excellent material for a critical study.

For a quantitative study leading to the conclusion that “good-will” has, on the whole, proved more profitable than tangible assets, see Lawrence N. Bloomberg, *The Investment Value of Goodwill*, Baltimore, 1938.